

Do Housing Supply Changes Predict Housing Prices?

Results:

- Model:

$$\text{Price}_{m,t} = \beta_0 + \beta_1 \text{Inventory}_{s,t} + \beta_2 \text{Time}_t + \gamma_m + \varepsilon_{m,t}$$

- Time Coefficient = -12.79
- P-value < 0.001
- Housing inventory declines ~12.8 units per month
- Lower inventory → higher housing prices

